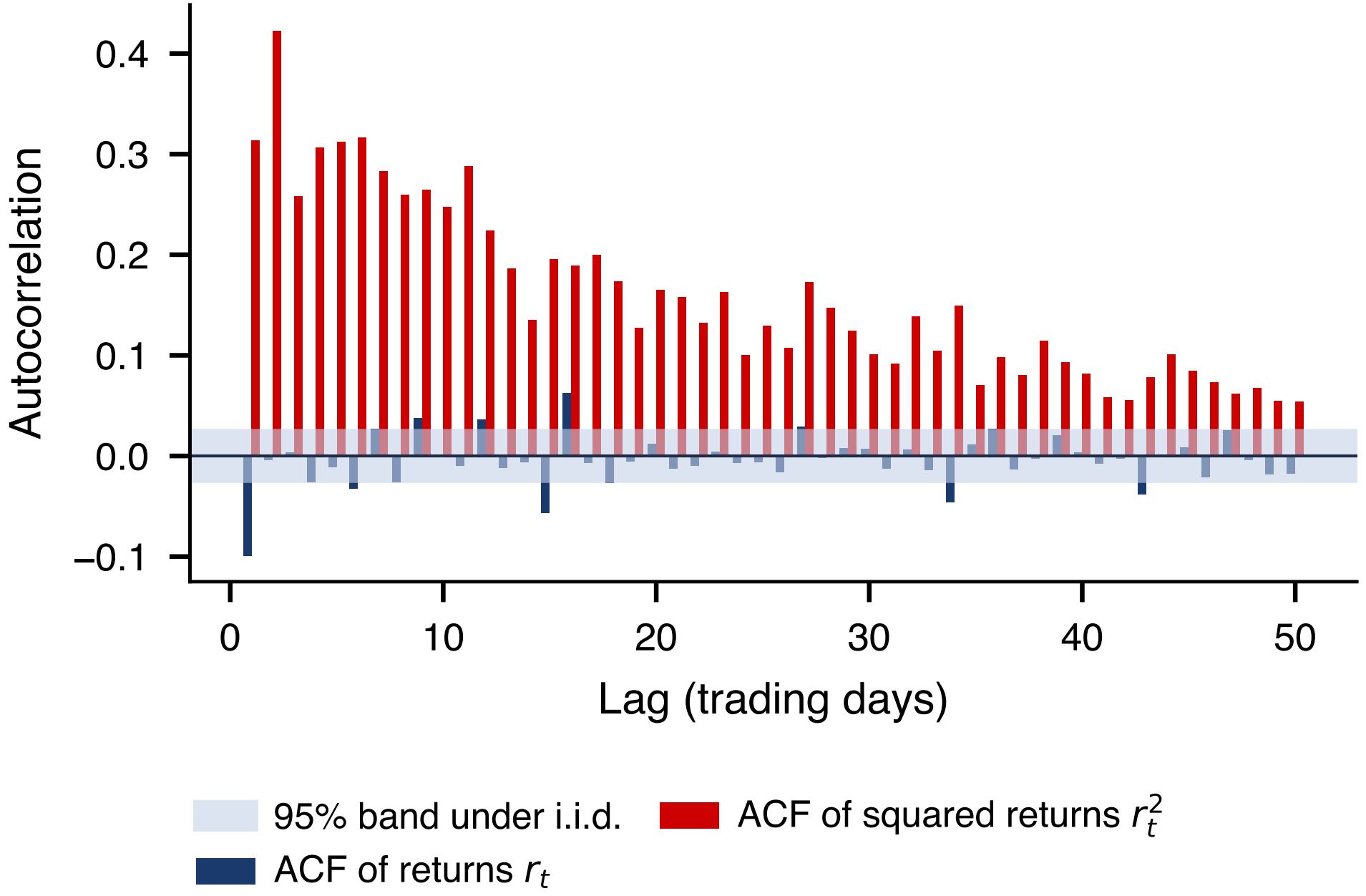
Autocorrelation
0.4
0.3
0.2
0.1
0.0
−0.1
0
10
20
30
40
50
Lag (trading days)
95% band under i.i.d.
ACF of squared returns r_t^2
ACF of returns r_t